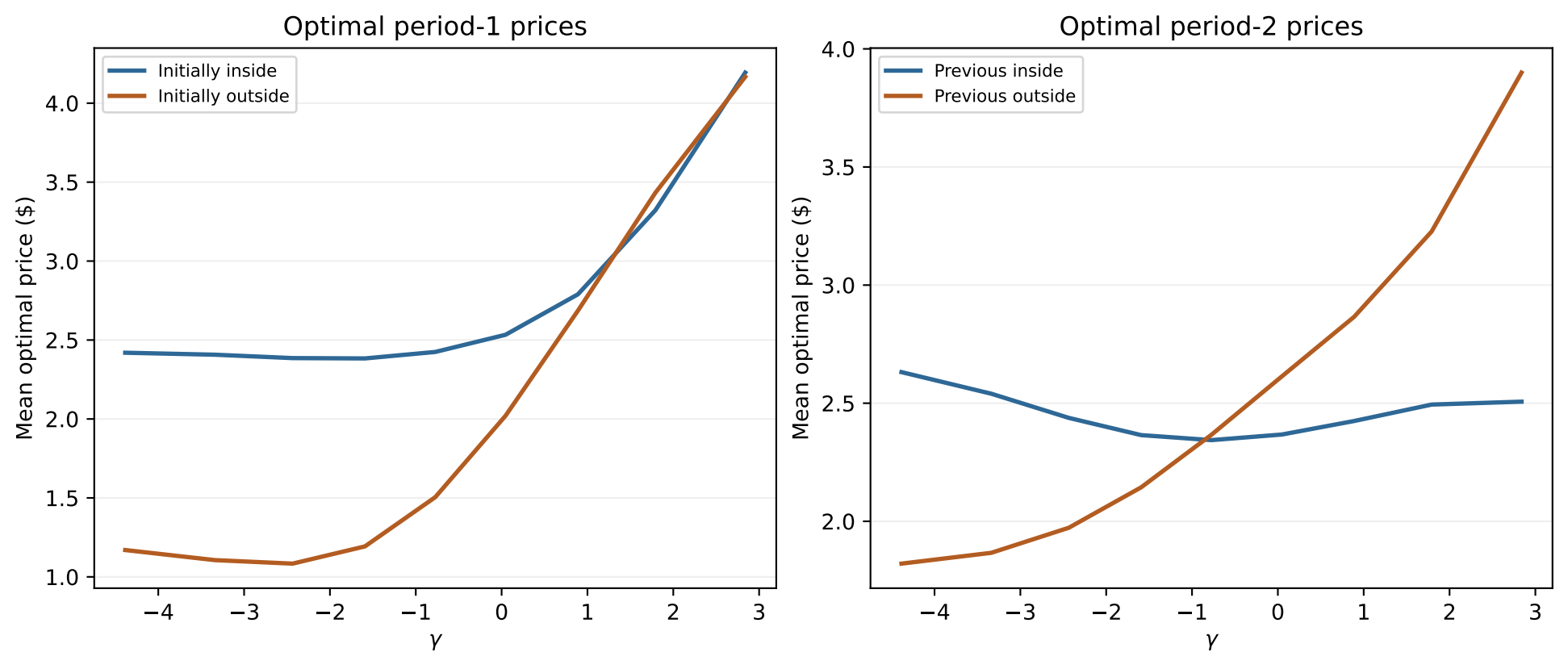
Optimal period-1 prices
Initially inside
Initially outside
Mean optimal price ($)
4.0
3.5
3.0
2.5
2.0
1.5
1.0
−4
−3
−2
−1
0
1
2
3
γ
Optimal period-2 prices
Previous inside
Previous outside
Mean optimal price ($)
4.0
3.5
3.0
2.5
2.0
−4
−3
−2
−1
0
1
2
3
γ